

Wabtec Meeting Briefing - Jamie O'Rourke | Confidential

CONFIDENTIAL - PRE-MEETING BRIEFING

Prepared for: Jamie O'Rourke, CEO, RailVision Analytics

Meeting: Wabtec Corporation - Strategic Partnership Discussion

Date: This Week | Q1 2026

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BOTTOM LINE UP FRONT

Wabtec's Trip Optimizer dominates Class I line-haul but spends \$0 optimizing \$1.5B+ in shortline and yard fuel. RailVision has field-proven AI that captures 8%+ savings in segments Trip Optimizer structurally cannot reach.

The ask: \$3M strategic investment for a co-sell partnership, shortline and yard distribution, and an acquisition option that locks in today's valuation.

Your goal this meeting: Get Wabtec to agree to a follow-up technical deep-dive within two weeks. Do not try to close the deal in this room.

1. KEY DISCUSSION POINTS - The Five Conversations That Will Define This Meeting

CONVERSATION 1: MARKET GAP VALIDATION

Does Wabtec agree that shortlines and yards are underserved?

- Your objective: Get them to say it - "Trip Optimizer doesn't cover this segment."
- Landmine to avoid: Don't imply Trip Optimizer is deficient. Frame it as "different segment, different physics."
- Data to cite: 450+ shortline railroads, \$764M annual fuel spend, 3,000+ Class I yard switchers, \$750M+ yard fuel spend - all with zero optimization today.

CONVERSATION 2: PROOF OF TECHNOLOGY

Is 8.29% real and replicable?

- Your objective: Walk through VIA Rail methodology. Offer full audit access.
- Landmine to avoid: Don't oversell. 592 trips is statistically significant but not 50,000. Own the stage of maturity.
- Data to cite: VIA Rail - 592 trips, 8.29% avg fuel savings, 61,950 gallons saved, \$232,313 value. Routes: Toronto-Ottawa (277 mi), Toronto-Windsor (223 mi). Period: May 2023 - Sep 2024.

CONVERSATION 3: BUILD VS. BUY

Why can't Wabtec do this internally?

- Your objective: Acknowledge their engineering talent, then challenge their prioritization.
- Landmine to avoid: Don't be dismissive. Frame it as time-to-market and opportunity cost.
- Key argument: 3+ years to build internally. Diverts engineering from Trip Optimizer. Training data on

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shortline-specific operations cannot be replicated in a lab.

CONVERSATION 4: VALUATION & DEAL STRUCTURE

Is \$50-100M justified for an early-stage company?

- Your objective: Anchor on TAM (\$1.5B shortline + \$750M yard), not current revenue.
- Landmine to avoid: Don't get defensive about revenue. Pivot to pipeline.
- Key argument: GWRR pipeline alone = \$2.7M ARR. Comparable AI acquisitions in industrial verticals: 15-25x forward revenue. \$50M is conservative against total addressable market.

CONVERSATION 5: OPERATIONAL PARTNERSHIP FIT

What does the partnership look like day-to-day?

- Your objective: Paint a concrete picture - Wabtec sells Trip Optimizer + EcoRail as a full-spectrum fuel solution.
- Landmine to avoid: Don't leave this vague. Have specific co-sell and integration scenarios ready.
- Key argument: RailVision handles shortlines and yards. Wabtec handles Class I mainline. Together = complete railroad market coverage.

2. OPPORTUNITIES TO HIGHLIGHT

OPPORTUNITY 1: THE \$1.5B BLIND SPOT

Trip Optimizer is Class I mainline. Period. 600+ shortline railroads, 3,000+ yard switchers - all burning fuel with zero optimization. No competitor is addressing this.

Frame it as: "This isn't a gap in your product. It's a gap in the market that no one has filled. We fill it."

OPPORTUNITY 2: FIELD-PROVEN, NOT THEORETICAL

8.29% average fuel savings at VIA Rail across 592 trips over 16 months. This is auditable, repeatable, and independently measurable.

Frame it as: "We're not showing you a model. We're showing you 592 data points."

OPPORTUNITY 3: ZERO-RISK GAINSHARE MODEL

\$0 upfront. Customers pay 30% of verified fuel savings only. Customer retains 70%. 90-day implementation via tablet. No hardware installation.

Frame it as: "We've removed every reason for a railroad to say no."

OPPORTUNITY 4: GWRR PIPELINE - BUILT-IN SCALE

Genesee & Wyoming = 112 properties under one ownership group. \$9M in fuel savings potential. \$2.7M ARR for RailVision at 30% gainshare. GWRR retains \$6.3M.

Frame it as: "One handshake, 112 deployments. That's the shortline aggregator advantage."

OPPORTUNITY 5: YARD LOCOMOTIVES - THE UNTOUCHED \$750M MARKET

3,000+ Class I switching locomotives. 82,490 gallons per switcher per year. Idle 60-80% of the time. Trip

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Optimizer activates at 12 mph - yard operations are below 10 mph. No one is optimizing this.

Frame it as: "This is greenfield. First mover takes it."

OPPORTUNITY 6: AI FUTURE-PROOFING FOR TRIP OPTIMIZER

Trip Optimizer = physics-based algorithms on embedded hardware. EcoRail = LLM-powered, cloud-native, continuously learning. The next generation of train handling is AI-native. RailVision gives Wabtec a path to lead that transition from within.

Frame it as: "The companies that cannibalize their own products control the transition. Those that don't get disrupted."

OPPORTUNITY 7: ACQUISITION OPTION = CHEAP INSURANCE

\$3M buys a strategic stake + right to acquire at validated valuation (\$50M-\$100M). If RailVision succeeds: Wabtec acquires a market leader at a discount. If it struggles: Wabtec is out \$3M - a rounding error.

Frame it as: "This isn't a bet on us. It's a hedge against someone else getting here first."

3. POTENTIAL CONCERNS WABTEC WILL RAISE - With Prepared Rebuttals

CONCERN 1: "You have no meaningful revenue yet."

Why they'll ask: Standard strategic investor skepticism for pre-revenue companies.

Your rebuttal: "Correct - and that's why the valuation reflects optionality, not earnings. Our GWRR pipeline alone represents \$2.7M ARR. We're at the inflection point, which is exactly when strategic investment creates the most value for both sides."

CONCERN 2: "We could build this ourselves."

Why they'll ask: NIH syndrome. Wabtec has 1,000+ engineers.

Your rebuttal: "You absolutely could. The question is: should you? It would take 3+ years, divert engineering from Trip Optimizer, and you'd still need the shortline-specific training data we've already collected over 7+ years. We're offering you a shortcut to a market you're not in today."

CONCERN 3: "How do we know 8% savings are real and not cherry-picked?"

Why they'll ask: Healthy skepticism. Fuel measurement is noisy.

Your rebuttal: "We'll open the books. 592 trips at VIA Rail, independently measurable against baseline fuel consumption. We welcome a third-party audit. The methodology is transparent - we're not hiding behind averages."

CONCERN 4: "What if GWRR doesn't scale? You're a one-customer company."

Why they'll ask: Concentration risk.

Your rebuttal: "GWRR is our beachhead, not our ceiling. The shortline market is 600+ railroads. GWRR proves the model at scale; every other shortline operator is watching. OmniTRAX (22 properties, \$600K ARR) and Watco (38 properties, \$900K ARR) are next. And with Wabtec's distribution, we'd have a channel no startup can match."

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CONCERN 5: "\$50-100M valuation seems aggressive."

Why they'll ask: Sticker shock for pre-revenue.

Your rebuttal: "Think of it as the price of controlling a \$2.25B combined market (shortline + yard). Comparable AI acquisitions in industrial verticals go at 15-25x forward revenue. At \$2.7M GWRR pipeline, \$50M is the floor, not the ceiling. And you're locking that price in today."

CONCERN 6: "What if we invest \$3M and you miss milestones?"

Why they'll ask: Downside protection.

Your rebuttal: "The investment can be milestone-gated. Capital deploys as we hit benchmarks: Q2 2026 first GWRR properties live, Q4 2026 target \$2.5M+ ARR. If we don't perform, your exposure is limited. The acquisition option still holds."

CONCERN 7: "How does 8% replicate across diverse shortline operations?"

Why they'll ask: Shortlines vary wildly - terrain, equipment, operations.

Your rebuttal: "That's exactly why our AI approach works. Rule-based systems break on variability. Our LLM-powered model learns each operation's specific profile - terrain, consist, duty cycle. Variability is our advantage, not our weakness. VIA Rail proved it across different routes and conditions."

CONCERN 8: "Who else is doing this? What's the competitive landscape?"

Why they'll ask: They want to know if they're the only ones looking.

Your rebuttal: "In shortline and yard? No one - with documented, field-validated results. Trip Optimizer owns Class I mainline. We own everything else. The risk isn't a current competitor - it's that a well-funded AI company outside rail decides this market is worth entering. Investing now means you control that narrative."

4. SUGGESTED TALKING POINTS - Exact Phrases for Jamie

OPENING THE MEETING:

"We're not here to compete with Trip Optimizer. We're here to complete it. There's \$1.5 billion in fuel spend that no one is optimizing - and we've built the only proven technology to capture it."

WHEN THEY PUSH ON REVENUE:

"Revenue is a trailing indicator. The leading indicators are all green: 8.29% proven savings, 592 auditable trips, a 112-property pipeline, and a business model where customers only pay when they save. The revenue is coming - the question is whether Wabtec is positioned to benefit when it does."

WHEN THEY SAY 'WE COULD BUILD THIS':

"I have no doubt you could. But every quarter you spend building is a quarter we're deploying. And the training data we've accumulated - real-world shortline operational data over 7+ years - isn't something you can replicate in a lab. This is a buy-vs-build decision where buying is faster, cheaper, and lower risk."

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WHEN THEY PUSH ON VALUATION:

"For \$3 million, you get a strategic stake in the only company addressing a \$2.25 billion combined market, plus an acquisition option that locks in today's price. If we're right about this market, \$50 million will look like a bargain in 18 months."

WHEN DISCUSSING THE YARD OPPORTUNITY:

"Trip Optimizer activates at 12 mph. Yard operations are almost entirely below 10 mph. That's not a product limitation - it's a different use case. Yards idle 60-80% of the time, burning 24,000 gallons per switcher per year. Our AI is purpose-built for this. No one else is even attempting it."

WHEN DISCUSSING AI FUTURE-PROOFING:

"Trip Optimizer is physics-based on embedded hardware. That's proven and effective for Class I. But the next generation of train handling is AI-native and cloud-first. We give you a path to lead that transition from within - rather than watching it happen to you from the outside."

CLOSING THE MEETING:

"The shortline and yard market is going to get optimized. The only question is by whom. We'd rather it be with Wabtec than against you. This investment gives you control of that outcome at minimal cost."

YOUR SPECIFIC ASK BEFORE LEAVING THE ROOM:

"We'd like to schedule a technical deep-dive within the next two weeks - your engineering team, our team, walking through the architecture and the VIA Rail data in detail. Can we get that on the calendar before we leave today?"

5. KEY NUMBERS TO MEMORIZE

Commit these five numbers to memory. They are the backbone of every argument in this meeting.

8.29% - Average fuel savings proven at VIA Rail across 592 trips

592 - Total auditable trips at VIA Rail (May 2023 - Sep 2024)

\$1.5B+ - Combined shortline (\$764M) and yard (\$750M+) fuel spend that Trip Optimizer cannot capture

112 - GWRR properties in pipeline (\$2.7M ARR potential from one relationship)

\$3M - Total strategic investment ask (bridge to breakeven with 18+ months runway)

6. TACTICAL MEETING NOTES

MEETING GOAL:

Get agreement on a follow-up technical deep-dive within 2 weeks. Do NOT attempt to close the deal in this

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meeting.

DECISION MAKER TO WATCH:

Whoever owns the Trip Optimizer P&L. They are either your champion or your blocker. Read their body language carefully.

BUYING SIGNAL:

If they start asking 'how would integration work?' or 'what does the co-sell structure look like operationally?' - they're buying. Lean in hard.

DANGER SIGNAL:

If they keep circling back to 'we need to evaluate internally' without specifics - they're stalling. Push for a concrete timeline and named next step before leaving the room.

LEAVE-BEHIND:

Prepare a single-page document with only the 5 key numbers (8.29%, 592, \$1.5B, 112, \$3M) and one sentence for each. No deck, no fluff. Something they'll pin to a wall.

PRE-FLIGHT CHECKLIST:

- ☐ Memorize the five key numbers
- ☐ Know the name and role of every Wabtec attendee
- ☐ Have VIA Rail case study data accessible (not in deck - in reserve for Q&A)
- ☐ Prepare one-page leave-behind
- ☐ Practice the 'build vs. buy' rebuttal - it WILL come up
- ☐ Have a clear closing ask: technical deep-dive within 2 weeks